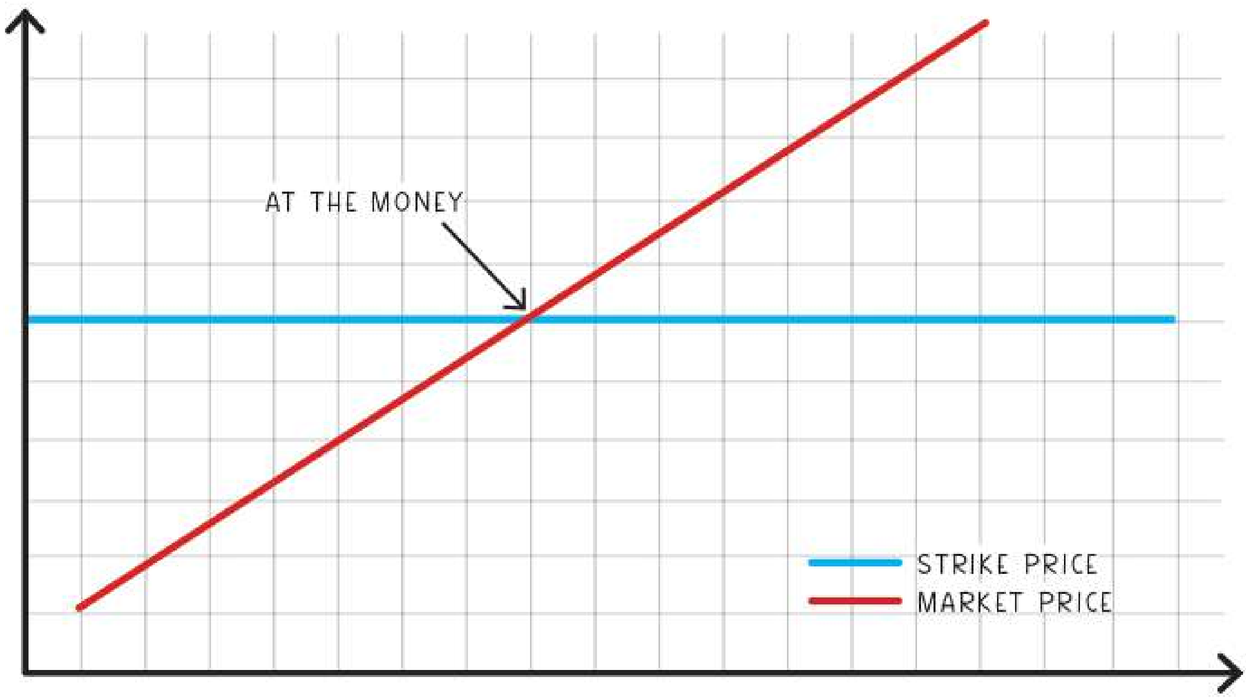
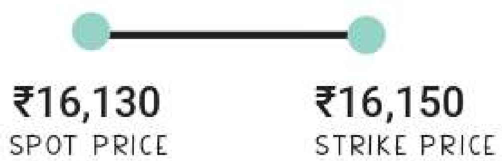
Also, if the difference between the strike price and the current price is extremely high, lets say ₹14,000 is the strike price in above example, it is called Deep In the Money.

AT THE MONEY (ATM)

At the money (ATM) options are those with a strike price very close to the current market price. At the money option contracts are very sensitive to changes in market price of the underlying asset.



For instance, at spot ₹16,130 an option with a strike price close to this (say ₹16,150) will be called at the money.



OUT OF THE MONEY (OTM)

Out of Money Option contracts are those that do not have any payoff built in them. For call options, if the Strike price is greater than Market price, the contract is said to be out of money. For put options, if the strike price is lower than market price, the contract is said to be out of money.